THE LONG SHADOW OF DIVIDENDS

In these comments I have tried to show how, as the years have passed, various experiences gradually helped to shape my investment philosophy. However, looking back, I find no specific event, either a mistake or a favorable opportunity, which caused me to reach the conclusions I have on the matter of dividends. Many observations over a long period of years gradually crystallized my views. I started out taking for granted the belief, as widely accepted forty years ago as it is today, that dividends were something highly favorable to the stockholder and something which should be welcomed enthusiastically. Then I began seeing companies that had so many exciting looking new ideas flowing from their research departments that they could not capitalize upon them all. Resources were too scarce or too expensive. I began thinking how much better it might be for some stockholders if, instead of paying div-idends, more of the company's resources were retained and invested in more of these innovative products.

I began increasingly to recognize that the interests of all stockholders were not identical. Some investors needed dividend income to sup-port their lifestyle. These stockholders would undoubtedly prefer cur-rent dividends to greater future profits and increased value for their shares resulting from increased investment in promising products and technologies. These investors could find investments in firms whose needs and opportunities for productive use of capital were not too demanding.

But how about the stockholder whose earning power or other income sources exceeded needs and who was regularly saving money anyway? Would it not be better for this investor if the company passed up its dividends, which would often be subject to a fairly high income tax rate, and instead reinvested the funds, tax-free, in future growth?

Shortly after World War II, when I started concentrating my invest-ment activities almost solely on the attainment of major, long-range capital appreciation, another aspect of the dividend payout issue became even more apparent. The companies with the greatest growth prospects were under tremendous pressure to pay no dividends at all. Their need for funds and their ability to use funds productively was too large. The cost of developing